

plications have created the need for more stringent regulation.

“Globally, developments in tech have outpaced regulatory frameworks. For Big Tech companies, it becomes even more challenging given their omnipresence across borders,” points out Arush Khanna, Partner, Numen Law Offices.

The difference in taxation regimes for traditional brick-and-mortar sectors, he says, has often been pre-emptive. “However, in the digital space, taxation systems have often been responsive (if not reactive or retrospective). Cryptocurrency, bitcoin trading and online gaming are perfect examples of the tax regime playing perfect catch-up to sectoral growth.” That means by the time an adequate matrix is in place, the money has already been made.

What makes the issue more intricate is the strange paradox around Big Tech companies deriving revenue from Indian advertisers but not necessarily having a physical presence or Permanent Establishment (PE) in India.

Amit Agarwal, Senior Partner, Nangia & Co LLP, articulates this by saying that under India’s tax treaties, the business profits of a foreign enterprise are taxable in India only if it has a PE in India. “Consequently, India has historically faced challenges in taxing the digital profits of foreign technology companies. It was with this in mind that we introduced the equalisation levy outside the Income Tax Act and the tax treaty framework,” he says.

It is important to understand that this is not merely a matter of shifting taxes to low-tax jurisdictions. “Rather, it represents a fundamental clash between traditional 20th century



“India, being the leader of the Global South, cannot unilaterally reintroduce it [equalisation levy] without inviting the displeasure of other countries and, more so, the tech giants”

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MANAGING PARTNER,
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international tax frameworks and the modern digital economy. Historically, under Articles 5 and 7 of the OECD (Organisation for Economic Co-operation and Development) model tax convention, a country’s legal right to tax a foreign corporation’s business profits was pre-conditioned on the existence of a PE, which requires a physical brick-and-mortar presence,” says Khanna.

That rule, of course, is pushed to the limit when it comes to the tech giants: without a physical footprint, they can avoid traditional taxation thresholds.

Without a doubt, tech companies are breathing easier after the scrapping of the equalisation levy. “They gained the most out of it as they pioneered online promotions, gaming and all possible forms of digital content absorbed by the ever-eager Gen Z and many of those who have now shifted from traditional physical paper-based reading to digital apps,” says Swapnil Kothari, senior corporate lawyer and Managing Partner, S. Kothari & Co.

Emails sent by *Business Today* to Amazon, Google and Meta specifically on the issue of equalisation levy did not elicit a response.

THE REAL NUMBERS

The equalisation levy was abolished in 2025, potentially triggered by trade tensions with the US. “One has to see this in a larger context, where even at its peak, the levy raised only around ₹3,900 crore, which is minuscule in the overall scheme of things. In any case, companies like Meta and Google render these services through Indian entities that do pay tax,” explains Ketan Dalal, Managing